



The end of the safety net: Life without the macroeconomic stabilisers

28 September 2026

For several decades, financial markets and the wider economy benefited from an implicit safety net. If a slowdown or a downturn arrived, there was a monetary put from central banks, and a fiscal put from governments. The monetary put would see interest rates slashed and liquidity injected via QE. The fiscal put would see governments run larger deficits to cushion any downturn. These policy stabilisers smoothed out the business cycle, and supported asset valuations too.

These policy interventions were increasingly normalised from the late-1980s, and became more aggressive with each passing cycle. This reached its peak during the Covid-19 pandemic, when governments ran fiscal deficits unprecedented in peacetime, whilst many central banks expanded their balance sheets with huge asset purchases.

But after an era of ever-bigger interventions, these old stabilisers now face major obstacles. On the fiscal side, policy is constrained today by sovereign yields at multi-year highs, alongside the highest debt-to-GDP ratios in several decades. Then on the monetary side, policy is constrained by persistent inflation that's increasingly supply-driven.

This represents a big shift from the last few decades, but it does echo previous regimes where the macroeconomic stabilisers were either blunted or left unused. A good example is the 1970s experience, when stagflation and supply shocks posed a dilemma to traditional policy tools. Even further back, the pre-WWI environment of the classical gold standard and balanced budget orthodoxy saw governments play a very different and more limited role in macroeconomic stabilisation.

Looking forward, this environment means policymakers will have a much more difficult time stabilising the business cycle in the coming years. So absent a sharp fall in yields or a collapse in inflation, higher macro volatility will be here to stay.

Authors

Henry Allen

Macro Strategist



1. Background: How the stabilisers used to work.

Economic policymakers have long used interventions to stabilise output. This became increasingly fashionable after WWII, when Keynesian economics established a more active use for fiscal policy to stimulate the economy in a downturn. This meant budget deficits became a more regular feature of life, rather than used solely for wartime emergencies.

It was from the late 1980s, however, that the extent of policy interventions became increasingly sizeable. Indeed, it was here that the origins of a central bank “put” for financial markets began, in the crisis of Black Monday in 1987. That was a huge stock market crash, where the S&P 500 fell over 20% in a single day, marking the biggest daily decline in its entire history. The size of the falls even went beyond the Great Depression, raising fears of wider contagion, particularly if it were to spark a liquidity crisis that caused financial institutions to fail. However, the Federal Reserve responded by cutting rates and providing liquidity, offering a macroeconomic stabiliser against the prospect of wider economic stress. This offered support against a wider downturn, and the US economic expansion continued until 1990.

Whilst the genesis of a central bank “put” came in 1987, the idea gained further traction in the late-1990s, with the Asian financial crisis in 1997, followed by the Russian financial crisis in 1998. Fears of an economic contraction mounted, particularly after issues at Long-Term Capital Management (LTCM) raised concerns that the US wasn’t immune from these global pressures. So once again, the Fed delivered three 25bp rate cuts pre-emptively, seeking to support the economy.

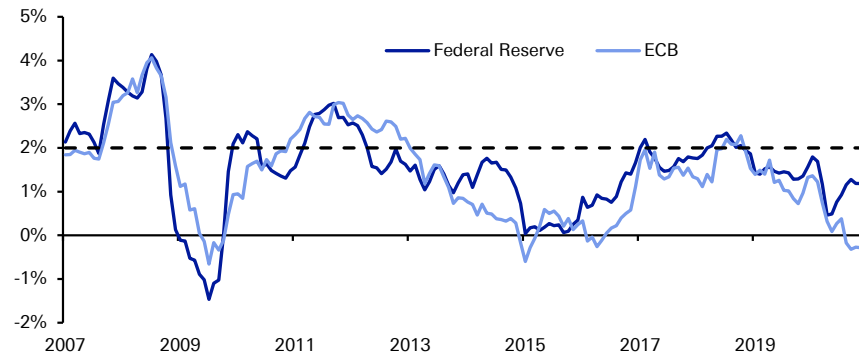
A few years later, the bursting of the dot com bubble in early 2000 set the stage for yet further stimulus. As equity markets declined, the Fed began to cut rates from early 2001, ultimately delivering 475bps of cuts that year that took rates from 6.5% to just 1.75%. That was followed up by further rate cuts in 2002 and 2003, leaving rates at 1% by mid-2003 into 2004. Moreover, the Bush tax cuts were also delivered in 2001 and 2003, acting as a fiscal stimulus as the wider US economy entered recession.

In hindsight, these moves seem modest compared to what then happened in 2008, when the Global Financial Crisis led to even bigger policy interventions. Suddenly, the world faced the biggest economic contraction since the Great Depression, with genuine fears that a repeat might happen. To avoid this, policymakers launched into the biggest economic stimulus ever seen in a peacetime environment. That included massive fiscal stimulus, with the US federal deficit at 9.8% of GDP in 2008, the highest since 1945. Moreover, central banks slashed rates to the zero lower bound, and many like the Federal Reserve launched into Quantitative Easing programmes, purchasing assets to ease financial conditions even more. Over the coming years, many began pledging to keep rates low well into the future, pioneering the concept of forward guidance.

These levels of policy intervention weren’t confined to the immediate crisis however. In the subsequent years, active attempts were made to prolong and extend the business cycle, particularly as the 2010s became an era of low inflation and low interest rates. In this environment, borrowing was historically cheap, and low inflation meant central banks could cut rates without seeing a big overshoot of their targets. Indeed, both the Fed and the ECB undershot their 2% inflation target on average in the 2010s, and the ECB took their own deposit rate into negative territory in 2014.



Figure 1: The Federal Reserve and the ECB frequently missed their 2% inflation targets on the downside in the 2010s (PCE inflation for the US, HICP inflation for the Euro Area)

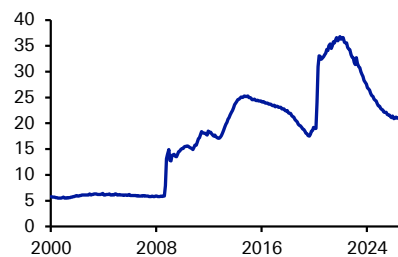


Source : Haver Analytics, Deutsche Bank

By 2019, the year before the pandemic, the intellectual climate had continued to move in the direction of more policy intervention. Government bond yields hit new lows, with Germany's 10-year bund yield at -0.7% in summer 2019. This environment of negative yields meant borrowing was basically a "free lunch", and that summer also saw the Fed begin a 75bp easing cycle, as inflation was below their target and they wanted to sustain the expansion.

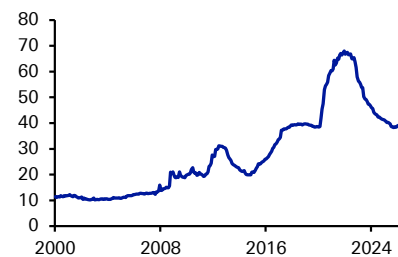
The peak of this policy interventionism was seen with the Covid-19 pandemic in 2020. Just as in 2008, the world was facing a huge and sudden economic contraction. Moreover, the consensus among policymakers was that they could have done more to speed up the recovery after 2008, potentially avoiding years of very high unemployment. As such, 2020 saw the most aggressive economic stimulus packages ever seen in a peacetime environment, well above those in 2008. Central banks immediately slashed rates back to the zero lower bound, pledged to keep rates low for years to come, and launched into major QE programmes again. Then on the fiscal side, record peacetime deficits were run. Indeed, the US federal deficit of 14.5% of GDP in 2020 was the highest since 1945.

Figure 2: Federal Reserve Balance Sheet (% of GDP)



Source : Bloomberg Finance LP, Deutsche Bank

Figure 3: ECB Balance Sheet (% of GDP)



Source : Bloomberg Finance LP, Deutsche Bank



During the pandemic period, many initially expected these interventions to remain for years to come. After all, in mid-2020, financial markets continued to price a continuation of the low inflation and low interest rates of the 2010s. This belief was clear on several fronts, and the 10-year Treasury yield closed at just 0.51% in August 2020. Meanwhile, the Federal Reserve even adjusted its own framework to allow for average inflation targeting, i.e. permitting an overshoot of the inflation target after periods of an undershoot. This reflected the consensus view that inflation was unlikely to be a serious threat.

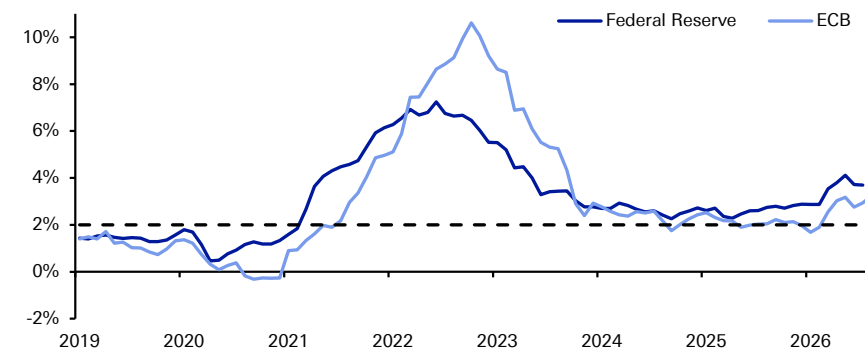
But as we now know, inflation returned in a serious way after the pandemic, forcing central banks into rate hikes. Meanwhile, public debt-to-GDP ratios rose significantly thanks to the pandemic stimulus, helping to push up sovereign bond yields too. In other words, many of the usual policy tools of the previous few decades were either blunted or no longer available.

2. The Monetary Constraint: High inflation means the central bank put isn't available

In the pre-2020 world described above, central banks regularly grappled with how to generate enough inflation. In part, this was thanks to several structural forces that put downward pressure on global prices. For instance, deepening globalisation acted as a positive supply shock that kept costs down. Meanwhile, the expansion of the global labour force in these years also boosted the supply side. In other words, inflation was low and central banks generally had the space to cut interest rates when they needed to.

But since the pandemic, we have entered a very different environment of above-target inflation across many of the world's biggest economies. Initially, that was caused by a huge wave of pent-up demand after the pandemic, alongside disruption to supply chains and labour markets. But the subsequent years also brought further shocks. Those included Russia's invasion of Ukraine in early 2022, driving a big spike in European energy prices, and pushing Euro Area inflation above 10% briefly. In 2026, the closure of the Strait of Hormuz then acted as a fresh energy shock, pushing inflation further away from target and contributing to a fresh tightening cycle from the major central banks.

Figure 4: In the 2020s, inflation has generally been above central bank targets (PCE inflation for the US, HICP inflation for the Euro Area)



Source : Haver Analytics, Deutsche Bank



Alongside those shocks, the structural forces keeping inflation down have gone into reverse. For instance, demographic trends have seen working-age populations shrink in many places. Meanwhile, the trend towards deeper globalisation has stalled, and the focus has turned to near-shoring and supply-chain resilience, rather than locating production in the cheapest place. Simultaneously, other trends like the push for higher defence spending are also adding to demand-side pressures.

Because of all this, the 2020s so far have brought persistently above-target inflation, and central bankers have found it much more difficult to ease policy in response to growth wobbles or financial stability fears.

This initially became apparent in 2022, amidst the biggest inflation wave for several decades. Central banks had to keep hiking rates, even in the face of slowing growth and financial market stress. Indeed, despite the S&P 500 being in bear market territory by mid-2022, the Federal Reserve still launched into a series of 75bp hikes, the biggest hikes since the 1990s. Then in 2023, despite the collapse of Silicon Valley Bank and fears of wider financial contagion, the Fed and ECB still continued with their rate hikes to combat inflation.

That tightening cycle in 2022-23 was a significant moment, because high inflation meant monetary policy could not simply act as a stabiliser against growth or financial stress. After all, policymakers realised that if they didn't act to tackle high inflation, they risked a repeat of the 1970s and the potential for even harsher monetary tightening to get inflation under control again.

Today in 2026, this is a familiar problem again. We are in a globally synchronised hiking cycle, with the Fed, ECB and Bank of Japan all having delivered rate hikes. So far at least, global growth has been robust and financial conditions remain accommodative by historical standards. But because inflation remains clearly above target, central banks don't have the space they did in the pre-pandemic world to simply cut rates at the first sign of difficulty. There is still an inflation mandate to be achieved, and given we have now seen multiple years of elevated inflation, there is a much higher risk of inflation expectations becoming unanchored in that context, particularly if another shock occurred.

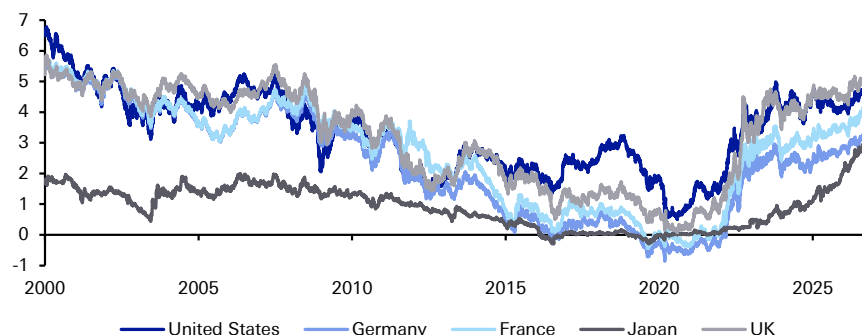
3. The Fiscal Constraint: High yields and high public debt mean fiscal stimulus isn't easily available either

Just as monetary policy is constrained by high inflation, fiscal policy today is also constrained by higher yields and higher public debt. This is a big transition from the world of 1980-2020, when yields were generally falling throughout. Indeed, despite all the fiscal stimulus around the GFC, the continuous decline in yields over the 2010s meant that debt dynamics remained manageable, because lower yields helped to offset the impact of higher debt.

Since the pandemic however, we've been in a very different world, as the dual forces of higher debt and higher yields have made debt dynamics far more unfavourable around the world. And this isn't just a nominal story, as real yields have also risen to multi-year highs as well.



Figure 5: 10yr Government Bond Yields (%) have risen to multi-year highs across several countries

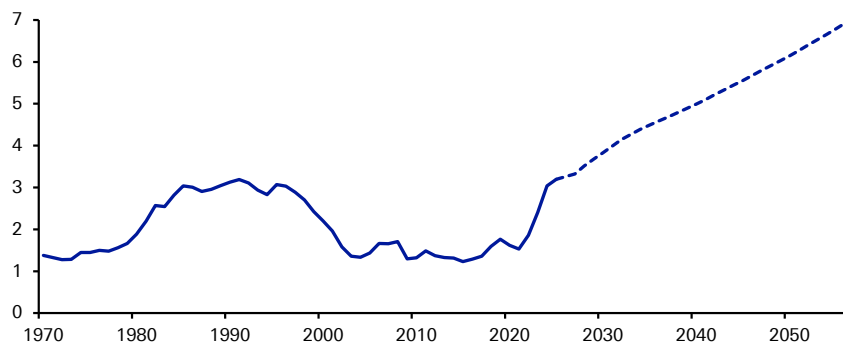


Source : Bloomberg Finance LP, Deutsche Bank

In essence, there are 4 new constraints around fiscal stimulus.

First, is the significant rise in global yields. By definition, the cost of incurring debt has grown, in both nominal and real terms. Relative to the pre-pandemic baseline in early 2020, the 10-year US Treasury yield has risen from 1.9% to 5.2%. Similarly in Germany, the 10-year bund yield has risen from -0.2% to 3.6%. Moreover, with yields already elevated, any further borrowing risks crowding out the private sector, and further dampening growth. And for governments, interest spending has ramped up significantly. For instance, US net interest spending as a share of GDP exceeded its recent peak from the early 1990s in the most recent fiscal year, and the CBO forecast this is set to continue.

Figure 6: US Net Interest Costs (% of GDP) with CBO Forecasts



Source : CBO, Deutsche Bank

The second constraint is that public debt itself is now at a higher level. This interacts with the higher yields mentioned above, because even though yields have only returned to their levels from the mid-2000s, that is much more impactful because they are being paid on a much larger debt pile. Using IMF numbers for consistency, net public debt across the advanced economies has risen from 52% of GDP in 2000, to 80% in 2025, with further increases projected to 2030. This means the fiscal space available to governments is more limited than it used to be.



The third constraint on fiscal stimulus is the high starting level of budget deficits. So to generate a meaningful fiscal stimulus, it would require deficits to be pushed up to even higher levels than they are today. But that in turn would add to the risks of bond market disruption that cascades through the economy, leading to higher borrowing costs for corporates and consumers as well.

The fourth constraint is higher inflation. When inflation is high, any fiscal stimulus that boosts demand risks pushing up prices rather than boosting output, and in turn makes monetary tightening more likely that could offset the impact of the stimulus. This trade-off was apparent in 2022, when central banks were hiking rates aggressively, and even further back in the inflationary environment of the 1970s. In a world of high inflation and supply constraints, fiscal stimulus is more likely to overheat the economy.

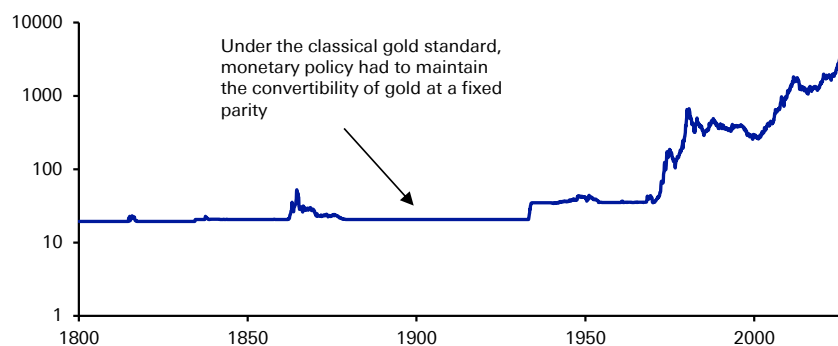
4. Are there any other eras of history where the stabilisers weren't available?

Whilst history never quite repeats exactly, there have been other eras in which the traditional policy stabilisers were either unavailable or severely blunted, which hold some lessons for our own time.

The pre-WWI classical gold standard

Before WWI, the international monetary system was known as the gold standard, in which currencies were convertible into a fixed quantity of gold. In practice however, this acted as a huge constraint on macroeconomic stabilisation. After all, monetary policy had to maintain the convertibility of gold at a fixed parity. This meant contemporary options like QE weren't available in a crisis. Meanwhile on the fiscal side, governments generally adhered to balanced budget orthodoxy. This was before Keynes wrote the General Theory, so the modern understanding of countercyclical deficit spending was not in place. In the US, there wasn't even a central bank until the Federal Reserve's establishment in 1913.

Figure 7: Gold Prices (US Dollars per ounce, log scale)



Source: Finaeon, Deutsche Bank

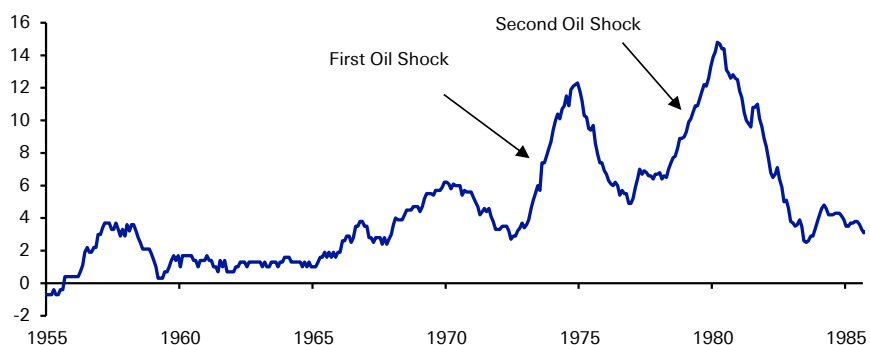


Without modern policy stabilisers however, this was also an era of huge macroeconomic volatility. There was a major financial panic across Europe and the US in 1873, which marked the start of the so-called “Long Depression”. In the US, that contraction lasted until 1879, which in length was even longer than the Great Depression contraction of 1929-33. And this was followed by other major panics, including the 1893 panic that led to another US contraction, along with the 1907 panic that saw the Dow Jones almost halve relative to its 1906 peak.

The stagflationary 1970s

The more recent example comes from the 1970s, another era of multiple supply shocks. The biggest were the two oil shocks in 1973 and 1979, which both represented negative supply shocks that pushed up inflation and hurt growth in the US and Europe. However, this meant policymakers faced a dilemma. If central banks cut rates, that would add to the inflationary pressures and risk worsening the wage-price spirals already underway. Meanwhile, if fiscal stimulus were pursued, that would also push up inflation.

Figure 8: US CPI (year-on-year % change)



Source : Haver Analytics, Deutsche Bank

This context meant that policy couldn’t smooth out the business cycle as successfully as it had in other decades. Indeed, in the decade from the first oil shock in 1973, the US experienced 3 separate recessions. That is significantly more turbulent than the last 40 years, when there have been just 4 recessions in total, or once a decade on average. For financial markets too, the 1970s were a terrible period for asset performance, with both equities and bonds losing ground in real terms across multiple countries.

5. Implications

If economic policymakers can’t use traditional monetary and fiscal policy tools to stabilise output and smooth the business cycle, then this will result in higher macro volatility.

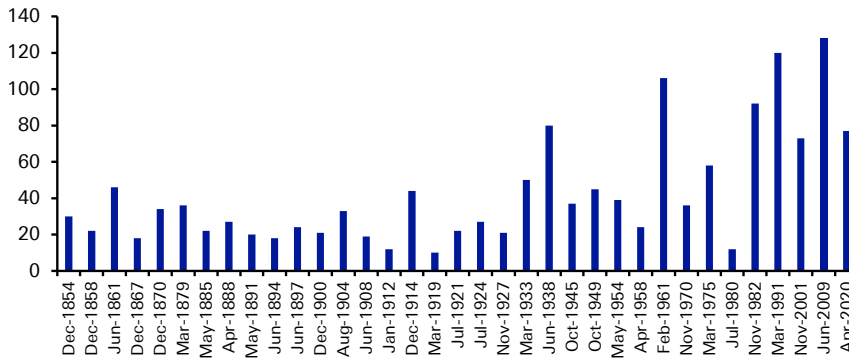
If we look back at the last 40 years, it is notable that the 5 most recent US expansions all rank in the top 7 longest expansions since business-cycle dating began. This has several causes, and some of it reflects a move away from an agriculture-based economy where output was dependent on factors like the weather. But a key role has also been played by pre-emptive policy interventions, such as cutting rates to stop a slowdown turning into a recession. Indeed, recent examples include the dovish shifts in monetary policy after the 1987 stock market crash, the 1997-98



financial crises, and the mid-cycle slowdown of 2015-16.

Beyond the actual policy interventions, these moves also had a confidence effect that supported financial markets. The fact that policymakers stood ready to take action helped create a virtuous circle, as optimism on the economic outlook boosted financial asset values, supported wealth effects, and avoided a tightening in financial conditions that would itself cause growth to slow.

Figure 9: Length of US economic expansions (in months) from the starting point



Source : NBER, Deutsche Bank

Clearly, policy is not as constrained today as in some periods of history. There is no longer a gold standard where the convertibility needs to be maintained. And unlike the 1970s, inflation is not in double-digits. Nevertheless, this is still a more constrained world than we have been used to in the last 4 decades. Higher inflation and more frequent supply shocks are constraining monetary policy. Meanwhile, higher yields and higher public debt levels are constraining fiscal policy. We have already seen the impacts since the pandemic, most notably in 2022, when central banks hiked rates to combat the inflation surge, and there was a simultaneous selloff across bonds and equities of a kind unseen in modern times.

Looking forward, this environment will offer new challenges of the sort we haven't been used to in recent decades. The policy trade-offs are now more acute, and if pre-emptive stabilisation is no longer available, then higher macro volatility lies ahead.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.